Amazon.com Inc AMZN (XNAS)

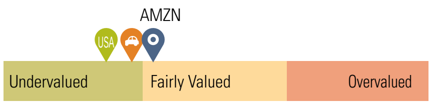
Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★★	964.17 USD	1050.00 USD	0.92	—	0.00	460.85	Specialty Retail	Exemplary
15 Jun 2017 22:00, UTC	15 Jun 2017	02 May 2017 19:26, UTC		15 Jun 2017	15 Jun 2017	15 Jun 2017		

Morningstar Pillars

	Analyst	Quantitative
Economic Moat	Wide	Wide
Valuation	★★★	Fairly Valued
Uncertainty	High	Medium
Financial Health	—	Strong

Source: Morningstar Equity Research

Quantitative Valuation



	Current	5-Yr Avg	Sector	Country
Price/Quant Fair Value	0.96	0.97	0.93	0.89
Price/Earnings	181.6	706.6	19.5	22.3
Forward P/E	125.0	—	15.8	17.6
Price/Cash Flow	27.9	28.8	10.9	12.8
Price/Free Cash Flow	49.9	166.5	18.7	19.2
Trailing Dividend Yield%	—	—	2.09	2.04

Source: Morningstar

Bulls Say

- Amazon dominates North American online retail with an estimated GMV of approximately $180 billion in 2016.
- With more than half of the world's Internet users coming from developing markets, Amazon has promising international growth opportunities, including Europe, Japan, and India.
- Kindle products and complementary devices like Fire TV, Dash, Echo, and Alexa represent intriguing customer acquisition and retention tools that capitalize on the shift to digital media while simultaneously promoting Prime memberships and AWS' various capabilities.

Bears Say

- Amazon's margin expansion trajectory is likely to be uneven at times, given its global logistics and content investments and new sources of competition.
- International expansion brings unique challenges such as local e-commerce regulations, infrastructure investments, and incumbent competition in some markets.
- Certain Amazon Web Services products will face competition from well-capitalized peers like Microsoft and Google, potentially exposing it to more aggressive price competition and longer-term margin pressures.

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Amazon Taps Whole Foods to Satisfy Its Hunger to Expand Its Grocery Platform; Shares Fairly Valued

Investment Thesis

R.J. Hottovy, CFA, Analyst, 02 May 2017

Amazon has played a key role in the structural shift away from brick-and-mortar retail and will likely lay waste to many other retailers in the years to come. As an increasingly vital distribution channel for consumer product vendors, Amazon commands favorable pricing terms to traditional rivals, which will help drive recurring site traffic. Even with more retailers looking to expand online, we believe Amazon will maintain its consumer proposition through the convenience of Amazon Prime's expedited shipping and expanding digital content library. Aided by the network effect inherent in more than 300 million global active users and recent fulfillment infrastructure, technology, and content investments, Amazon owns one of the wider economic moats in the consumer sector and is likely to remain a disruptive force in retail, digital media, and enterprise software.

Amazon's growth potential is undeniable. Key top-line metrics--including active users (a 15% compound annual growth rate the past five years), total physical and digital units sold (28% CAGR), and third-party units sold (36% CAGR)--continue to outpace global e-commerce trends, suggesting that Amazon is gaining share while fortifying its network effect. On top of its impressive growth trends, Amazon is gradually building an intriguing margin expansion story, including 3.1% operating margins in 2016. Amazon's margin expansion is going to be less visible than its growth trajectory, given the potential for new investment cycles, including international fulfillment infrastructure and content deals, AmazonFresh, tablets and other hardware such as the Echo/Alexa-enabled products, new delivery capacity and technologies, and international expansion. Some of the company's capital decisions haven't always yielded strong returns. However, we're optimistic that Amazon can near 7% operating margins by 2021 (almost 9% excluding stock-based compensation and amortization of intangibles) based on Prime memberships and fee increases, segment margins for Amazon Web Services exceeding 30%, fulfillment center scale ("getting closer to the consumer"), third-party sales, and early signs of profitable international growth.

Analyst Note

Erin Lash, CFA, Sector Head, 16 June 2017

On Nov. 16, wide-moat Amazon announced its intentions to acquire narrow-moat Whole Foods Market in a $13.7 billion all-cash deal, which equates to $42 per share or around a 25% premium to our fair value estimate and the prior market close. The transaction is valued at a forward enterprise value/EBITDA multiple of 11 times. We intend to raise our $33.50 fair value estimate for Whole Foods to the deal price (adjusted for the time value of money), as we don't foresee another bid surfacing before the expected close in the second half of 2017. Despite the strategic nature of the deal for Amazon--affording the firm the opportunity to gain a larger brick-and-mortar presence, as well as access to higher-quality fresh food fare (which stands to benefit its ambitions to expand its fresh grocery offerings)-- we see little change to our $1,050 fair value estimate, given the small relative size of the transaction (around a low-single-digit percentage of sales).

Whole Foods has been under pressure to reignite its operations, challenges that were brought to the forefront following the 9% stake taken by activist investor Jana Partners earlier this year, as it petitioned the firm to make operational improvements and/or pursue a sale. We had believed that a sale offered the best investor outcome, and had believed the firm could fetch between 9 and 11 times adjusted EBITDA (or a price in the mid-$30s to mid-$40s). As such, we portend this represents a favorable outcome for Whole Foods, in light of the intense competitive pressures that had been weighing on its business. Further, from our vantage point, because Amazon has developed a very powerful and disruptive brand intangible asset that has become synonymous with competitive pricing, expedited shipping, and customer service--all of which underpin our wide moat rating--we think this deal could be advantageous as Whole Foods works to right its ship and drive efficiencies across its operations.

Economic Moat

R.J. Hottovy, Analyst, 02 May 2017

A shakeout among traditional brick-and-mortar retailers is underway, particularly in commoditized categories.

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Close Competitors	Currency (Mil)	Market Cap	TTM Sales	Operating Margin	TTM/PE
Wal-Mart Stores Inc WMT	USD	237,874	487,511	4.66	17.92
JD.com Inc JD	USD	54,445	40,929	-0.15	0.00
eBay Inc EBAY	USD	36,897	9,059	24.91	4.94
Best Buy Co Inc BBY	USD	17,246	39,488	4.51	15.50

With nonexistent customer switching costs and intense competition, we've already seen Circuit City, Linens 'n Things, Borders, and RadioShack effectively exit the retail landscape, while names like Barnes & Noble, Sears, the office superstores, and a host of other retailers struggle to reverse deteriorating fundamentals. Market consolidation among mass merchants like Wal-Mart and Costco has played a role in this trend, as have direct-to-consumer investments by key original-equipment manufacturers like Apple and Samsung. However, we see Amazon as the most disruptive force to emerge in retail in several decades. Its operational efficiency, network effect, and laser focus on customer service provide it with sustainable competitive advantages that traditional retailers cannot match; this should yield additional market share gains in the years to come. Despite ongoing fulfillment, technology (hardware devices and AWS), and content investments, we expect Amazon can generate economic returns ahead of our cost of capital assumption over an extended horizon, supporting our wide moat rating.

One of Amazon's key advantages is its operational efficiency. We contend that the cost to maintain its scalable fulfillment and distribution network is lower than having a large physical retail presence, allowing Amazon to price below its brick-and-mortar peers while still generating positive economic returns. This allows Amazon to generate strong cash flow, which in turn can be reinvested in advertising, customer service, and website enhancements that keep its marketplace robust and customer loyalty strong. In fact, we believe Amazon's brand has come to represent low prices, a wide selection, convenience, and superior customer service--a rare combination among retailers.

Amazon also benefits from a network effect, as low prices, an expansive breadth of products, and a user-friendly interface attract millions of customers, which in return attract merchants of all kinds to Amazon.com, including third-party sellers on Amazon's Marketplace platform (which represented roughly 50% of total units sold in 2016) and wholesalers/manufacturers selling directly to Amazon. According to our research, the percentage of traffic to Amazon derived from search has fallen in recent years at a time when other online retailers have become more dependent on search. We think this indicates that Amazon is increasingly becoming the starting point for online purchases, akin to a mall anchor tenant. Additionally, customer reviews, product recommendations, and wish lists increase in relevance as more consumers and products are added to the Amazon platform, enhancing its network effect.

We like Amazon's chances of competing in digital media, given its sizable customer base, the symbiotic hardware/software ecosystem of its Kindle, Fire TV, Dash, and Echo products, and well as intriguing possibilities with Amazon's Echo and other Alexa-enabled voice-recognition products. We still view the Kindle suite of products as customer-acquisition tools that add multiple layers of upside to our base-case assumptions, including additional Prime memberships and engagement levels, accelerating digital media sales, and a positive halo effect on general merchandise sales. We believe Amazon will continue to develop into a formidable player in digital media, given its vast content offerings, inroads into new verticals (including video games), and ability to sell hardware as a loss leader.

We believe Amazon Web Services has similarly developed cost advantage, intangible asset, and network effect moat sources. Amazon's public cloud computing offerings possess more than 4 times the computing capacity in use than the next 14 largest providers combined (according to Gartner statistics), providing the company with scale advantages and often making it the preferred name for corporations looking to reduce information technology expenditures. AWS generated $12.2 billion in revenue during 2016, and we forecast average annual revenue growth of more than 30% over the next five years. With recent investments for additional capacity and other innovations, we expect AWS to become an increasingly positive gross margin contributor--the segment posted 25.4% segment operating income in 2016, and we believe this segment can deliver 30%-plus margins over a longer horizon--because of its highly scalable nature and other services outside of cloud storage, including a network of third-party software providers selling on AWS Marketplace.

Valuation

R.J. Hottovy, Analyst, 02 May 2017

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We're raising our discounted cash flow-derived fair value estimate to $1,050 per share from $950, driven by an increase in our medium-term revenue growth assumptions for Amazon's more nascent AWS, subscription services, Alexa/Echo and advertising and U.S. tax reform adjustments, partly offset by a flattening of our margin expansion assumptions due to automation/robotics at fulfillment centers, new devices, and AI/machine learning, and new AWS functionality. In Amazon's case, we do not believe traditional price/earnings and enterprise value/EBITDA metrics are meaningful, given the impact that technology, content, and infrastructure investments are expected to have on near-term margins. Still, we believe Amazon warrants a premium valuation based on its wide economic moat, meaningful avenues for growth, and longer-term margin expansion potential.

Amazon's competitive position and compelling value proposition should lead to additional share gains in 2017, putting full-year revenue growth around 23%. Our model assumes average annual revenue growth of around 19% for the five years ending 2021 due to continued market share gains, the secular shift to online retail, digital content sales, international expansion, and the aforementioned nascent growth channels. With respect to Amazon's sales mix, we forecast retail product sales to grow 12% annually the next five years, with smaller but faster growing segments like third-party seller services, subscription services, and AWS growing 25%, 36%, and 32%, respectively, over the same period.

We project that gross margins will reach 39% over the next five years, compared with 35% in 2016. Amazon's growing clout with suppliers, the higher proportion of third-party units in the sales mix, and AWS' increased presence should allow for higher gross margins but be tempered by a mix shift to lower-margin nonmedia categories. We also forecast operating margin expansion through increasing expense leverage (particularly in the fulfillment, marketing, and general and administrative expense line items), greater contribution from AWS, and accelerating third-party unit sales. Our model calls for almost 7% GAAP operating margins (9% excluding stock-based compensation and amortization of intangibles) over the next five years based on the company's strong competitive positions in AWS and North American e-commerce, as well as early indications of success in certain international markets.

Risk

R.J. Hottovy, Analyst, 02 May 2017

Despite its leading position in an e-commerce industry with secular tailwinds, Amazon faces several potential risks. Impairment to Amazon's low-price positioning, whether real or perceived, could have an adverse impact on fundamentals. Amazon must maintain its value proposition and logistics efficiency to drive site traffic while fending off other online merchants, mass merchants, and specialty retailers for market share. This includes managing the value proposition of Amazon Prime with potential price hikes in the future, though we believe the convenience of Amazon's fulfillment capabilities, expanded digital content offerings, Subscribe & Save platforms, and the addition of month-to-month and video-only subscriptions will continue to drive new Prime membership growth and keep attrition to a minimum.

Amazon also faces some regulatory risk, including new federal standards for collecting online sales taxes, which could weaken one advantage and make traditional retailers more competitive. Still, even with more-stringent online sales or shipping tax laws, we believe Amazon maintains its value proposition and attract customers through other means, including faster shipping technologies and new Amazon Prime membership features. International growth brings unique regulatory challenges, as foreign governing bodies are constantly amending online commerce laws often to the benefit of local players in the market.

Other downside risks include exposure to volatile discretionary spending patterns and expansion into peripheral business lines, which could distract management or lead to poor capital-allocation decisions. Conversely, we see upside risks in the form of more diversified AWS offerings, advertising services, expanded Fulfilment by Amazon capabilities, the rollout of AmazonFresh across additional urban centers, new potential pricing tiers or add-on features for Amazon Prime memberships, and new revenue streams like advertising.

Management

R.J. Hottovy, Analyst, 02 May 2017

Chairman and CEO Jeff Bezos founded Amazon.com in 1994. We view Amazon's management team as Exemplary in terms of corporate stewardship. Bezos owns about 20% of the shares, takes no equity compensation or bonus pay,

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and collects a paltry salary. Although the board is small, it is elected every year, receives no cash compensation, avoids insider relationships, and hasn't implemented antitakeover provisions. The company also provides a good deal of supplementary financial data in its financial reports. Our only complaint is that such specific disclosures have not increased as the company has expanded into new areas, including digital downloads, the Kindle suite of products, and Prime memberships (though to its credit, management broke out AWS as a separate business unit in the first quarter of 2015).

Amazon has made several investments in developing a moatworthy business model, including an efficient fulfillment infrastructure in North America, a vast content portfolio, and Amazon Web Services capacity. However, a $170 million charge tied to the Fire Phone in the third quarter of 2014 and operating losses internationally underscore the importance of Amazon being more selective with its capital allocation. We believe the lack of consumer interest in the Fire Phone was a wakeup call for management's future capital decisions, as the company runs the risk of losing key personnel without stronger returns on invested capital, owing to the equity component of many employees' compensation structure. However, we're comfortable with this risk, based on recent capital discipline and investments that have been more directly aligned with the core commerce and AWS platforms.

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Analyst Notes Archive

Alexa, What Should Investors Know About Amazon Coming Out of This Holiday Season?

R.J. Hottovy, Analyst, 27 December 2016

As the 2016 holiday selling season winds down, Amazon remains our favorite name in the online retail space, with shares currently trading at a 16% discount to our $900 fair value and several data points suggesting the building blocks behind our longer-term growth and profitability assumptions remain intact while potentially expanding.

Alexa devices are garnering most of the headlines following the holiday selling season, and rightfully so as it's becoming apparent that this platform has solidified its position as Amazon's fourth "pillar" business "that can grow to be large, will provide strong financial returns and are durable, and can last for decades," joining its marketplace, Prime, and Amazon Web Services businesses (coincidentally, the three primary sources behind our operating margin estimates growing from 3.2% this year to 7.2% in 2020). On Dec. 27, Amazon noted that sales of its Alexa-enabled Echo devices increased more than nine times over last year's holiday sales, which could imply between 4-5 million Alexa units sold to date based on third-party estimates.

While we view Alexa/Echo as an early stage product, it's clear that there are several longer-term benefits. At the top of that list is enhancing Amazon's network effect--a key source behind our wide moat rating--as Echo products offer other consumer companies direct access to Amazon users, which could have positive margin implications via increased third-party sales and advertising. Second, it keeps consumers locked into the Amazon ecosystem while promoting sales of margin-accretive subscription services such as Amazon Music or Audible. Third, we believe Amazon is just starting to scratch the surface of what it could do with Alexa, including licensing the technology to other products (a key theme coming out of this year's AWS re:Invent conference). Finally, and perhaps most important, Alexa/Echo provide Amazon with unrivaled customer data, offering a key longer-term competitive advantage.

Amazon's Strong Gross Margins Reinforce Long-Term Potential of Prime, Third-Party Sales, and AWS

R.J. Hottovy, Analyst, 03 February 2017

Our view of Amazon as having one of the widest moats in the consumer space is intact following the firm's fourth-quarter update. For us, the highlight was the 190-basis-point uptick in gross margins to 33.8%, which we find as the metric that best encapsulates our longer-term free cash flow drivers, including Prime membership growth and engagement, increasing third-party sales, and Amazon Web Services. While operating margins fell 20 basis points year over year, we attribute most of the softness to the fulfillment, content, Prime, and Alexa/Echo investments that began in mid-2016 and are likely to persist through the first half of 2017. Still, we believe each of these investment areas strengthens Amazon's ecosystem and lays the foundation for future margin expansion.

While critics might point to revenue growth of 22% versus guidance of 17%-27% as a concern, we believe the growth rate is encouraging after stripping out a $558 million negative foreign currency headwind and accounting for the ongoing shift to third-party units sold (where Amazon records just a commission on the sale). Paid unit growth of 24% was a deceleration from the 28% averaged in the first three quarters of the year, but we attribute the difference to lapping last year's strong holiday demand among Fulfillment by Amazon sellers (which continued throughout the year--evidenced by the 70% increase in FBA sellers this year--and reinforces the network effect behind our wide moat rating).

We plan to increase our fair value estimate to $950 per share from $900 based on time value of money adjustments, and we encourage investors to take advantage of any weakness following the fourth-quarter update. With greater confidence in Prime, Amazon's third-party capabilities, and AWS coming out of the quarter--not to mention Alexa coming into its own as a unique long-term cash flow driver--we're comfortable with our outlook for operating margins to grow to almost 8% by 2021 from 3.1% in 2016.

Investment Activity Weighs on Amazon Margins, but Justified by Growth and Consumer Engagement Trends

R.J. Hottovy, Analyst, 28 April 2017

In what might become a recurring narrative for 2017, Amazon's first-quarter update indicates that it may be willing to trade-off some profitability for investment

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within its North America/International retail segments while becoming increasingly dependent on Amazon Web Services (AWS) for margin expansion. While gross margins--which we view as the best indicator of the health of the business given its direct linkage to key pillars like AWS, Prime, and third-party sales--rose a healthy 200 basis points to 37.2%, operating margins contracted 90 basis points to 2.8%. Management cited investment priorities for the decline, including automation/robotics at fulfillment centers, new devices, and AI/machine learning in North America, fulfillment capacity and the expansion of Prime benefits and content in international markets, and new AWS functionality.

The efficacy of these investments is dictated by their returns, and we'd be more concerned if Amazon hadn't retained its strong top-line growth (22.6%) as well as other metrics reaffirming the strength of the network effect underpinning our wide moat rating. These include a 52% increase in retail subscription services (mostly Prime membership fees, but also audio/video content and other subscriptions), a 36% increase in third-party seller service revenue, and a 58% increase in other revenue (suggesting healthy advertising revenue growth, which we view as an emergent long-term cash flow contributor), not to mention the rash of store closures across the U.S. retail industry.

Although first-quarter results were a shade below our expectations, we're planning a mid-single-digit percentage increase in our $950 fair value estimate based on increased optimism over AWS growth trajectory (including 30%-plus average annual revenue growth the next five years), Prime adoption in international markets, stable third-party vendor participation, nascent opportunities like Echo/Alexa and advertising, and U.S. tax reform adjustments.

Amazon Taps Whole Foods to Satisfy Its Hunger to Expand Its Grocery Platform; Shares Fairly Valued

Erin Lash, Sector Head, 16 June 2017

On Nov. 16, wide-moat Amazon announced its intentions to acquire narrow-moat Whole Foods Market in a $13.7 billion all-cash deal, which equates to $42 per share or around a 25% premium to our fair value estimate and the prior market close. The transaction is valued at a forward enterprise value/EBITDA multiple of 11 times. We intend to raise our $33.50 fair value estimate for Whole Foods to the deal price (adjusted for the time value of money), as we don't foresee another bid surfacing before the expected close in the second half of 2017. Despite the strategic nature of the deal for Amazon--affording the firm the opportunity to gain a larger brick-and-mortar presence, as well as access to higher-quality fresh food fare (which stands to benefit its ambitions to expand its fresh grocery offerings)-- we see little change to our $1,050 fair value estimate, given the small relative size of the transaction (around a low-single-digit percentage of sales).

Whole Foods has been under pressure to reignite its operations, challenges that were brought to the forefront following the 9% stake taken by activist investor Jana Partners earlier this year, as it petitioned the firm to make operational improvements and/or pursue a sale. We had believed that a sale offered the best investor outcome, and had believed the firm could fetch between 9 and 11 times adjusted EBITDA (or a price in the mid-$30s to mid-$40s). As such, we portend this represents a favorable outcome for Whole Foods, in light of the intense competitive pressures that had been weighing on its business. Further, from our vantage point, because Amazon has developed a very powerful and disruptive brand intangible asset that has become synonymous with competitive pricing, expedited shipping, and customer service--all of which underpin our wide moat rating--we think this deal could be advantageous as Whole Foods works to right its ship and drive efficiencies across its operations.

Quantitative Equity Report | Release: 16 Jun 2017, 09:26 UTC | Reporting Currency: USD | Trading Currency: USD | Exchange:XNAS Page 7 of 14

Amazon.com Inc AMZN ★★★Q

16 Jun 2017 02:00 UTC

Last Close	Fair Value Q	Market Cap	Sector	Industry	Country of Domicile
15 Jun 2017	16 Jun 2017 02:00 UTC	15 Jun 2017			
964.17	1,001.24	460.8 Bil	Consumer Cyclical	Specialty Retail	USA United States

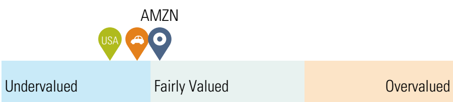
There is no one analyst in which a Quantitative Fair Value Estimate and Quantitative Star Rating are attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative fair value. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities. For information regarding Conflicts of Interests, visit http://global.morningstar.com/equitydisclosures

Company Profile

Amazon.com Inc is an online retailer. The Company sells its products through the website which provides services, such as advertising services and co-branded credit card agreements. It also offers electronic devices like Kindle e-readers and Fire tablets.

Quantitative Scores

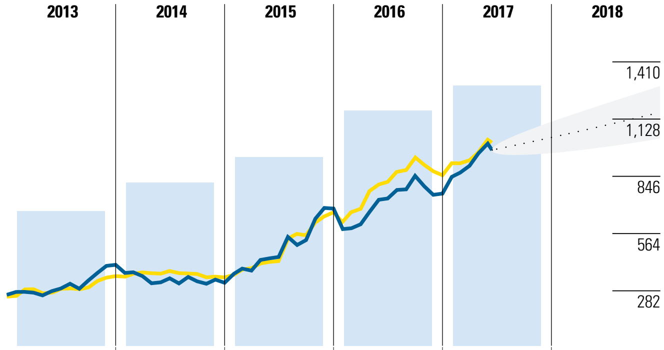
		Scores All	Rel Sector	Rel Country
Quantitative Moat	Wide	100	100	100
Valuation	Fairly Valued	51	45	40
Quantitative Uncertainty	Medium	99	99	98
Financial Health	Strong	88	90	88



Source: Morningstar Equity Research

Price vs. Quantitative Fair Value

2013 2014 2015 2016 2017 2018

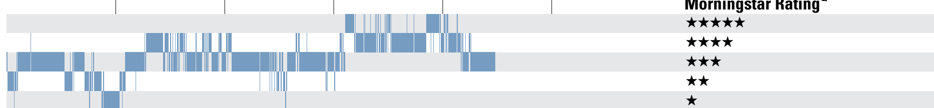


Momentum:	Neutral
Standard Deviation:	27.99
Liquidity:	High

682.12	52-Wk	1,016.50
212.61	5-Yr	1,016.50

2013	2014	2015	2016	2017	2018	
59.0	-22.2	117.8	10.9	28.6		Total Return %
25.8	-35.0	117.1	-1.5	19.1		+/– Market (Morningstar US Index)
—	—	—	—	—		Trailing Dividend Yield %
—	—	—	—	—		Forward Dividend Yield %
1,428.6	-666.7	909.1	172.4	181.8		Price/Earnings
2.6	1.7	3.2	2.8	3.3		Price/Revenue

Morningstar Rating Q



Valuation

	Current	5-Yr Avg	Sector Median	Country Median
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Price/Earnings	181.6	706.6	19.5	22.3
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Price/Cash Flow	27.9	28.8	10.9	12.8
Price/Free Cash Flow	49.9	166.5	18.7	19.2
Trailing Dividend Yield %	—	—	2.09	2.04
Price/Book	21.3	17.1	1.8	2.6
Price/Sales	3.3	2.2	1.0	2.2

Profitability

	Current	5-Yr Avg	Sector Median	Country Median
Return on Equity %	14.2	3.9	11.5	12.2
Return on Assets %	3.6	0.9	5.1	4.6
Revenue/Employee (K)	417.6	553.0	535.4	305.0

Financial Health

	Current	5-Yr Avg	Sector Median	Country Median
Distance to Default	0.8	0.8	0.6	0.5
Solvency Score	440.2	—	499.0	579.2
Assets/Equity	4.3	4.5	1.8	1.7
Long-Term Debt/Equity	0.4	0.5	0.2	0.3

2012	2013	2014	2015	2016	TTM	**Financials** (Fiscal Year in Mil)
61,093	74,452	88,988	107,006	135,987	142,573	Revenue
27.1	21.9	19.5	20.2	27.1	4.8	% Change
676	745	178	2,233	4,186	4,120	Operating Income
-21.6	10.2	-76.1	1,154.5	87.5	-1.6	% Change
-39	274	-241	596	2,371	2,582	Net Income
4,180	5,475	6,842	11,920	16,443	16,806	Operating Cash Flow
-3,785	-3,444	-4,893	-4,589	-6,737	-7,419	Capital Spending
395	2,031	1,949	7,331	9,706	9,387	Free Cash Flow
0.6	2.7	2.2	6.9	7.1	6.6	% Sales
-0.09	0.59	-0.52	1.25	4.90	5.31	EPS
-106.6	—	-188.1	—	292.0	8.4	% Change
0.87	0.84	2.33	11.41	17.76	19.30	Free Cash Flow/Share
—	—	—	—	—	—	Dividends/Share
18.04	19.80	22.23	26.39	37.28	45.35	Book Value/Share
459,000	465,000	471,000	477,000	477,975	477,975	Shares Outstanding (K)
						Profitability
-0.5	3.1	-2.4	4.9	14.5	14.2	Return on Equity %
-0.1	0.8	-0.5	1.0	3.2	3.6	Return on Assets %
-0.1	0.4	-0.3	0.6	1.7	1.8	Net Margin %
2.11	2.05	1.88	1.78	1.83	2.01	Asset Turnover
4.0	4.1	5.1	4.9	4.3	3.7	Financial Leverage
24.8	27.2	29.5	33.0	35.1	35.6	Gross Margin %
1.1	1.0	0.2	2.1	3.1	2.9	Operating Margin %
3,084	3,191	8,265	8,235	7,694	7,691	Long-Term Debt
8,192	9,746	10,741	13,384	19,285	21,674	Total Equity
10.6	8.3	6.4	5.5	5.3	5.1	Fixed Asset Turns

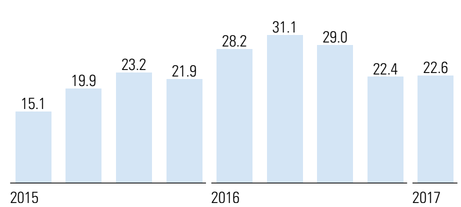
Growth Per Share

	1-Year	3-Year	5-Year	10-Year
Revenue %	27.1	22.2	23.1	28.9
Operating Income %	87.5	77.8	37.2	26.8
Earnings %	292.0	102.5	29.0	27.0
Dividends %	—	—	—	—
Book Value %	42.3	24.0	18.9	44.2
Stock Total Return %	35.0	43.5	34.6	29.6

Quarterly Revenue & EPS

Revenue (Bil)	Mar	Jun	Sep	Dec	Total
2017	35.7	—	—	—	—
2016	29.1	30.4	32.7	43.7	136.0
2015	22.7	23.2	25.4	35.7	107.0
2014	19.7	19.3	20.6	29.3	89.0
Earnings Per Share ()					
2017	1.48	—	—	—	—
2016	1.07	1.78	0.52	1.54	4.90
2015	-0.12	0.19	0.17	1.01	1.25
2014	0.23	-0.27	-0.95	0.47	-0.52

Revenue Growth Year On Year %



Research Methodology for Valuing Companies

Qualitative Equity Research Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we", "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

To assess the sustainability of excess profits, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working-capital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total pres-

Morningstar Research Methodology for Valuing Companies

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ent value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty around that fair value estimate

Morningstar's Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts' ability to bound the estimated value of the shares in a company around the Fair Value Estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

- ► **Low:** margin of safety for 5-star rating is a 20% discount and for 1-star rating is 25% premium.
- ► **Medium:** margin of safety for 5-star rating is a 30% discount and for 1-star rating is 35% premium.
- ► **High:** margin of safety for 5-star rating is a 40% discount and for 1-star rating is 55% premium.
- ► **Very High:** margin of safety for 5-star rating is a 50% discount and for 1-star rating is 75% premium.
- ► **Extreme:** Stock's uncertainty exceeds the parameters we have set for assigning the appropriate margin of safety.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more detail information about our methodology, please go to http://global.morningstar.com/equitydisclosures

Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time, generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

Five Stars ★★★★★

We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

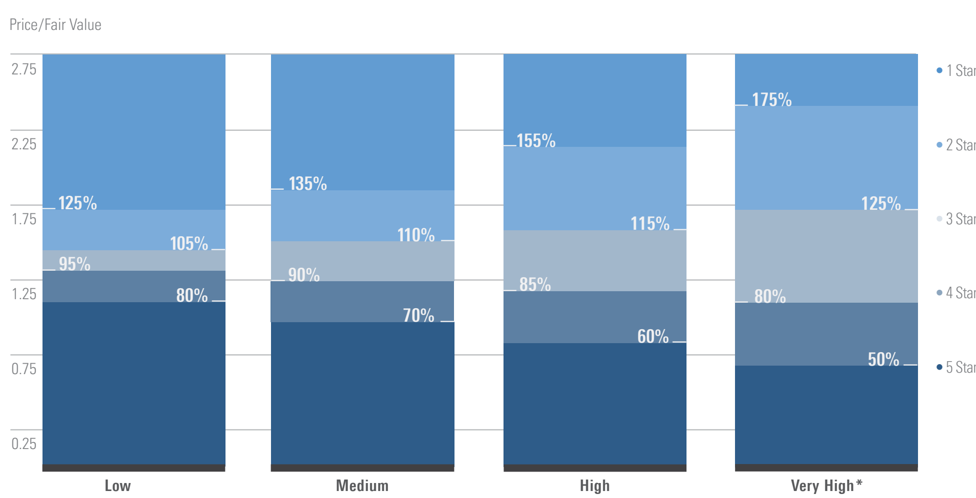
Four Stars ★★★★

We believe appreciation beyond a fair risk-adjusted return is likely.

Three Stars ★★★

Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

Morningstar Research Methodology for Valuing Companies



* Occasionally a stock's uncertainty will be too high for us to estimate, in which case we label it Extreme.

Research Methodology for Valuing Companies

Two Stars ★★
We believe investors are likely to receive a less than fair risk-adjusted return.

One Star ★
Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions:

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Stewardship Rating: Represents our assessment of management's stewardship of shareholder capital, with particular emphasis on capital allocation decisions. Analysts consider companies' investment strategy and valuation, financial leverage, dividend and share buyback policies, execution, compensation, related party transactions, and accounting practices. Corporate governance practices are only considered if they've had a demonstrated impact on shareholder value. Analysts assign one of three ratings: "Exemplary," "Standard," and "Poor." Analysts judge stewardship from an equity holder's perspective. Ratings are determined on an absolute basis. Most companies will receive a Standard rating, and this is the default rating in the absence of evidence that managers have made exceptionally strong or poor capital allocation decisions.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- ▶**Undervalued:** Last Price is below Morningstar's quantitative fair value estimate.
- ▶**Farily Valued:** Last Price is in line with Morningstar's quantitative fair value estimate.
- ▶**Overvalued:** Last Price is above Morningstar's quantitative fair value estimate.

Risk Warning
Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

Quantitative Equity Reports Overview
The quantitative report on equities consists of data, statistics and quantitative equity ratings on equity securities. Morningstar, Inc.'s quantitative equity ratings are forward looking and are generated by a statistical model that is based on Morningstar Inc.'s analyst-driven equity ratings and quantitative statistics. Given the nature of the quantitative report and the quantitative ratings, there is no one analyst in which a given report is attributed to; however, Mr. Lee Davidson, Head of Quantitative Research for Morningstar, Inc., is responsible for overseeing the methodology that supports the quantitative equity ratings used in this report. As an employee of Morningstar, Inc., Mr. Davidson is guided by Morningstar, Inc.'s Code of Ethics and Personal Securities Trading Policy in carrying out his responsibilities.

Quantitative Equity Ratings
Morningstar's quantitative equity ratings consist of: (i) Quantitative Fair Value Estimate, (ii) Quantitative Star Rating, (iii) Quantitative Uncertainty, (iv) Quantitative Economic Moat, and (v) Quantitative Financial Health (collectively the "Quantitative Ratings).

The Quantitative Ratings are calculated daily and derived from the analyst-driven ratings of a company's peers as determined by statistical algorithms. Morningstar, Inc. ("Morningstar", "we", "our") calculates Quantitative Ratings for companies whether or not it already provides analyst ratings and qualitative coverage. In some cases, the Quantitative Ratings may differ from the analyst ratings because a company's analyst-driven ratings can significantly differ from other companies in its peer group.

Quantitative Fair Value Estimate: Intended to represent Morningstar's estimate of the per share dollar amount that a company's equity is worth today. Morningstar calculates the Quantitative Fair Value Estimate using a statistical model derived from the Fair Value Estimate Morningstar's equity analysts assign to companies. Please go to http://global.morningstar.com/equitydisclosures for information about Fair Value Estimate Morningstar's equity analysts assign to companies.

Quantitative Economic Moat: Intended to describe the strength of a firm's competitive position. It is calculated using an algorithm designed to predict the Economic Moat rating a Morningstar analyst would assign to the stock. The rating is expressed as Narrow, Wide, or None.

- ▶**Narrow:** assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 70% but less than 99%.
- ▶**Wide:** assigned when the probability of a stock receiving a "Wide Moat" rating by an analyst is greater than 99%.
- ▶**None:** assigned when the probability of an analyst receiving a "Wide Moat" rating by an analyst is less than 70%.

Quantitative Star Rating: Intended to be the summary rating based on the combination of our Quantitative Fair Value Estimate, current market price, and the Quantitative Uncertainty Rating. The rating is expressed as One-Star, Two-Star, Three-Star, Four-Star, and Five-Star.

- ▶**One-Star:** the stock is overvalued with a reasonable margin of safety.
  *Log (Quant FVE/Price) < -1*Quantitative Uncertainty*
- ▶**Two-Star:** the stock is somewhat overvalued.
  *Log (Quant FVE/Price) between (-1*Quantitative Uncertainty, -0.5*Quantitative Uncertainty)*
- ▶**Three-Star:** the stock is approximately fairly valued.
  *Log (Quant FVE/Price) between (-0.5*Quantitative Uncertainty, 0.5*Quantitative Uncertainty)*
- ▶**Four-Star:** the stock is somewhat undervalued.
  *Log (Quant FVE/Price) between (0.5*Quantitative Uncertainty, 1*Quantitative Uncertainty)*
- ▶**Five-Star:** the stock is undervalued with a reasonable margin of safety.
  *Log (Quant FVE/Price) > 1*Quantitative Uncertainty*

Quantitative Uncertainty: Intended to represent Morningstar's level of uncertainty about the accuracy of the Quantitative Fair Value Estimate. Generally, the lower the Quantitative Uncertainty, the narrower the potential range of outcomes for that particular company. The rat-

Research Methodology for Valuing Companies

ing is expressed as Low, Medium, High, Very High, and Extreme.

- ► **Low:** the interquartile range for possible fair values is less than 10%.
- ► **Medium:** the interquartile range for possible fair values is less than 15% but greater than 10%.
- ► **High:** the interquartile range for possible fair values is less than 35% but greater than 15%.
- ► **Very High:** the interquartile range for possible fair values is less than 80% but greater than 35%.
- ► **Extreme:** the interquartile range for possible fair values is greater than 80%.

Quantitative Financial Health: Intended to reflect the probability that a firm will face financial distress in the near future. The calculation uses a predictive model designed to anticipate when a company may default on its financial obligations. The rating is expressed as Weak, Moderate, and Strong.

- ► **Weak:** assigned when Quantitative Financial Health < 0.2
- ► **Moderate:** assigned when Quantitative Financial Health is between 0.2 and 0.7
- ► **Strong:** assigned when Quantitative Financial Health > 0.7

Other Definitions:

Last Close: Price of the stock as of the close of the market of the last trading day before date of the report.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- ► **Undervalued:** Last Price is below Morningstar's quantitative fair value estimate.
- ► **Farily Valued:** Last Price is in line with Morningstar's quantitative fair value estimate.
- ► **Overvalued:** Last Price is above Morningstar's quantitative fair value estimate.

This Report has not been made available to the issuer of the security prior to publication.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report.

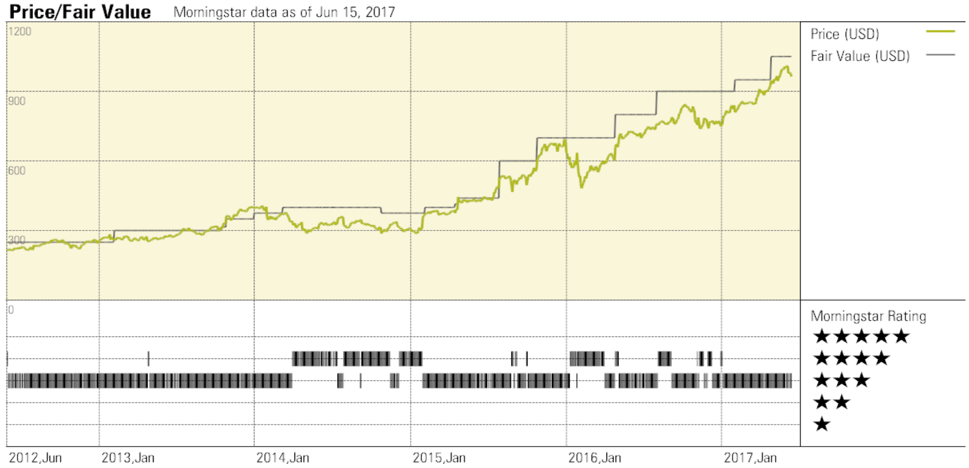
The quantitative equity ratings are not statements of fact. Morningstar does not guarantee the completeness or accuracy of the assumptions or models used in determining the quantitative equity ratings. In addition, there is the risk that the price target will not be met due to such things as unforeseen changes in demand for the company's products, changes in management, technology, economic development, interest rate development, operating and/or material costs, competitive pressure, supervisory law, exchange rate, and tax rate. For investments in foreign markets there are further risks, generally based on exchange rate changes or changes in political and social conditions. A change in the fundamental factors underlying the quantitative equity ratings can mean that the valuation is subsequently no longer accurate.

For more information about Morningstar's quantitative methodology, please visit www.corporate.morningstar.com.

Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★★	964.17 USD	1050.00 USD	0.92	—	0.00	460.85	Specialty Retail	Exemplary
15 Jun 2017 22:00, UTC	15 Jun 2017	02 May 2017 19:26, UTC		15 Jun 2017	15 Jun 2017	15 Jun 2017		

Price/Fair Value Morningstar data as of Jun 15, 2017



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Amazon.com Inc AMZN (XNAS)

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investment decision and when deemed necessary, to seek the advice of a legal, tax, and/or accounting professional.

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Amazon.com Inc AMZN (XNAS)

Morningstar Rating	Last Price	Fair Value Estimate	Price/Fair Value	Trailing Dividend Yield %	Forward Dividend Yield %	Market Cap (Bil)	Industry	Stewardship
★★★	964.17 USD	1050.00 USD	0.92	—	0.00	460.85	Specialty Retail	Exemplary
15 Jun 2017 22:00, UTC	15 Jun 2017	02 May 2017 19:26, UTC		15 Jun 2017	15 Jun 2017	15 Jun 2017		

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